



PHOTO BY CHANDRADEEP KUMAR



## “GIFT CITY CAN BECOME A GLOBAL FINANCIAL DESTINATION”

Further policy reforms will enable Indian businesses located overseas to relocate to GIFT City, says K. Rajaraman, Chairperson of regulator IFSCA **BY SURABHI**

Seasoned bureaucrat **K. RAJARAMAN**, who was earlier Telecom Secretary, took charge as Chairperson of International Financial Services Centres Authority (IFSCA)—tasked with regulating and developing international financial services centres (IFSCs) in India—in July 2023. In an interview with *Business Today*, Rajaraman says the IFSCA is working with the central and state governments to attract businesses to GIFT City and develop the talent pool required by these firms. Edited excerpts:



**Many companies plan to move to GIFT City from other similar jurisdictions. Are businesses becoming more confident?** I will give a specific example of the shipping industry. Indians own a lot of ships but they are all owned outside the country in Dubai, Singapore, Panama, Liberia, and Greece. We believe that if we are

able to mimic or produce the same kind of regulatory environment here, they wouldn't mind coming here as most of their business is India-facing. About eight ship lessors have registered here and at least two bulk carriers have been leased out of GIFT City in the past couple of months. A couple of transactions have also been funded out of GIFT City, so I think the ecosystem is building up.... Further policy reforms will enable a lot of these foreign-located Indian businesses to relocate [here].



**Will more policies be announced?**

Yes, we are working on a few more [policies]. We do core financial services and we have more than 26 banks here, which provide trade finance, ECBs (external commercial borrowings), and also do overseas derivative instruments and provide hedging services. Our focus is also to build

IFSC into a reinsurance hub... India's traditional strength lies in having the world's largest talent pool of English-speaking professionals such as accounting specialists, compliance specialists, [and] engineers. India has been the research back office of the world and is also the business process outsourcing destination. The finance minister had said that a comprehensive framework would be announced soon to make GIFT City a global hub for business accounting, compliance services, auditing and the notifications are under process. Once that is done, that will be a great job generator. While core financial services will employ a lesser number of people, the service providers will employ a lot more people.



**The announcement on direct listing at GIFT City has been a source of excitement for companies. What do you think?**

Indian companies are already raising capital through the ECB route, but they may also want to raise dollar equity... [and] we're giving them an option. What is Viksit Bharat@2047? The concept is that Indian businesses can no more afford to stay local... they have to have a global footprint. We want more midsize companies to develop a global footprint. For this, we will have to provide them with the ability to access all forms of international capital... Some companies may want to do a dual listing—a listed company may want to do an international listing to raise some dollar capital. Or there could be some start-up or tech company that has not done an IPO and feels it has a better valuation in an international marketplace. So, it may want to do the initial listing here.



**In the past, you have spoken about an instant settlement system at GIFT City...**

The banks here settle payments through the correspondent banking system, which means that they use SWIFT [messaging] that goes to New